

If we take the hypothetical value of bitcoin as \$12,382, and assume it will reach that utility value in 10 years, then with a discount rate of 30 percent that means the present value of each bitcoin is worth \$898 per bitcoin [$\$898 = \$12,380 / (1.3^{10})$]. Hence, at a current price of \$1,000 per bitcoin, the asset would be *overvalued* because investors are paying too much for it at \$1,000 when it really should only be worth \$898 given future expectations.

Now, this model has many assumptions and flaws, and a common refrain for such models is “*Garbage in, garbage out.*” For example, we give only two potential use cases, we had no justification for the percent market share bitcoin would take, and to derive the original price of \$12,382 we made the assumption that 21 million bitcoin would be available. In reality, we will be roughly 95 percent of the way to 21 million bitcoin outstanding in ten years, again highlighting the importance of considering the future supply of a cryptoasset when digging into fundamental values. It is easy to manipulate models to show that an asset is under- or overvalued, but these models are nonetheless useful to give investors some bearing on what they are paying for.

For even the most diligent innovative investor, valuing prospective cryptoassets is not a palatable task. However, just as there exists a big business in selling valuation research on stocks, so too will there be a business for valuing cryptoassets. Already there have been reports, such as those from Spencer Bogart at Needham & Company, as well as Gil Luria at Wedbush, that look at the fundamental value of bitcoin. Figure